

Micron Technology, Inc.

MU NASDAQ

Buy

\$944.79 ▲ 1.22%

12M Price Target
\$1100.00

52-Week Range
\$117.30 – \$1255.00

Market Cap
\$1.07T

MU: Memory Supercycle Real, But Peak Debate Heats Up

WHAT HAPPENED

- MU up 1.2% to \$945 — the story today is Dell publicly calling out a memory chip shortage, which is basically free advertising for Micron. When a top-3 server maker says "we can't get enough memory," that's confirmation the supercycle isn't hype. But note the pushback narrative brewing: Motley Fool ran a "is the peak near?" piece, meaning smart money is starting to debate when to take profits.
- Options flow is screaming bullish — put/call ratio of 0.53 (way more calls than puts, meaning traders are betting on upside) and MASSIVE unusual call buying at \$940-\$950 strikes expiring this month. Someone with real money thinks MU pops before September options expire.

WHY IT MATTERS

Here's what today really means: the debate has shifted from "is there a memory shortage?" to "how long does it last?" — and that's a bullish setup because it means the shortage is now consensus, but the duration is still underappreciated. Dell essentially told the market that hyperscalers are hoarding HBM (high-bandwidth memory used for AI chips) and DRAM, which means Micron has pricing power for at least another 2-3 quarters. The concerning tell: that Motley Fool "buy something OTHER than Micron or Sandisk on the dip" headline suggests retail is starting to rotate to second-derivative plays, which historically happens near intermediate tops. Watch for MU to consolidate in the \$900-\$1000 range while the market digests whether we're mid-cycle or late-cycle.

POLICY & POLITICAL WATCH

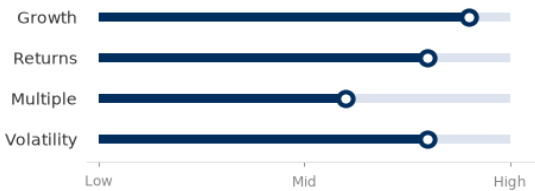
The big policy tailwind is still the CHIPS Act — Micron has ~\$6B in federal grants locked in for their Idaho and New York fabs, and the current administration has kept semiconductor onshoring as a bipartisan priority. Bigger near-term catalyst: export controls on HBM to China were tightened again this summer, which effectively hands Micron and SK Hynix a duopoly on selling advanced memory to Western AI customers (Samsung is playing catch-up on HBM3E). Watch for any China retaliation on rare earths or gallium — that's the one policy risk that could hit MU's cost structure, though they've been diversifying supply chains for two years now.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$944.79
12M Price Target	\$1100.00
Upside / (Downside)	+16.4%
Market Cap	\$1.07T
FY2026E Revenue	\$52,000M
FY2027E Revenue	\$68,000M
FY2026E EPS	\$42.50
FY2027E EPS	\$58.00
Fwd P/E	22.2x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$1050.00	\$975.00	\$850.00
6 Months	\$1300.00	\$1100.00	\$800.00
1 Year	\$1500.00	\$1200.00	\$750.00
2 Years	\$1800.00	\$1350.00	\$650.00
5 Years	\$2500.00	\$1600.00	\$500.00
10 Years	\$4000.00	\$2200.00	\$400.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Materials (+1.8%) and Comm Services (+1.8%) leading — Materials strength ties to AI infrastructure buildout (copper, specialty chemicals for fabs), Comm Services riding hyperscaler capex narrative. Both are second-derivative AI plays.

COOLING OFF: Energy flat today but +4% on the week is starting to look extended; defensive sectors (Staples, Healthcare) only modestly up suggests risk-on tone intact.

ROTATION WATCH: Money is staying in AI infrastructure but broadening out — the fact that Materials led today while semis were only modestly up hints that traders are looking for cheaper ways to play the same theme.

RELATED PLAY: If you believe the memory shortage story, the picks-and-shovels play is memory equipment makers (Lam Research, Applied Materials) — they sell the tools MU needs to expand capacity, and they benefit whether MU or Hynix wins.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Custom AI silicon demand from hyperscalers driving structural revenue growth beyond memory cycles
- NVDA (Nvidia): Still the AI kingmaker — every NVDA GPU sold requires MU's HBM, so they move together

MU CONTEXT: MU is roughly keeping pace with the AI complex but underperforming the pure-play compute names (NVDA, AVGO) over the past month. That's actually a healthy setup — it means MU hasn't gone parabolic yet and has room to catch up if memory becomes the next narrative rotation. Leading indicator to watch: if MU starts outperforming NVDA on up days, that's the tell that memory is having its moment.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$900-935 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Memory pricing rolls over, or hyperscaler capex guides down sharply

Hedging: Pair with short SK Hynix ADR or buy protective puts around earnings